J. Craig Smith (4143)
Lyle J. Fuller (10896)
Nancy J. Delacenserie (10922)
SMITH HARTVIGSEN, PLLC
215 South State Street, Suite 600
Salt Lake City, Utah 84111
Tel.: (801) 413-1600
Fax.: (801) 413-1620
Attorneys for Plaintiffs

SEVENTH DISTRICT COURT
Grand County
FILED MAR 17 2008
CLERK OF THE COURT
BY _____
Deputy

PLAINTIFFS' REPLY BRIEF IN SUPPORT OF CROSS-MOT
VD26399846
pages: 25
070700108 GRAND COUNTY UTAH

IN THE SEVENTH JUDICIAL DISTRICT COURT IN AND FOR GRAND COUNTY STATE OF UTAH

BARBARA A. MORRA; MICHAEL K. SUAREZ; JOHN S. WEISHEIT; HAROLD SHEPHERD; JENNIFER P. SPEERS; TARA COLLINS; WILLIAM LOVE; SARAH M. FIELDS; JOHN C. DOHRENWEND; PAUL JANOS; STEVE MULLIGAN, Plaintiffs, v. GRAND COUNTY, UTAH; and the GRAND COUNTY COUNCIL, Defendants; and CLOUDROCK LAND COMPANY LLC, Defendant-Intervenor.	**PLAINTIFFS' REPLY BRIEF IN SUPPORT OF CROSS-MOTION FOR SUMMARY JUDGMENT** Case No. 070700108 Honorable Lyle Anderson

Plaintiffs respectfully submit that their cross-motion for summary judgment should be granted. The Grand County Council decisions at issue are administrative in nature, not legislative. Accordingly, Plaintiffs are entitled, as a threshold jurisdictional matter, to a declaratory judgment remanding this matter to the Grand County Board of Adjustment ("BOA"). Even if the Court were to

rule that the BOA does not have jurisdiction, however, the County's failure to produce the record for this administrative appeal means the Court lacks the necessary factual basis for ruling on the merits of Plaintiffs' petition for review. Furthermore, even if the Court were to reach the merits of Plaintiffs' petition for review notwithstanding the absence of the record, Cloudrock's motion fails because the County's challenged actions were arbitrary, capricious, and illegal.

FACTS

I. Additional Undisputed Facts in Support of Plaintiffs' Cross Motion for Summary Judgment and in Rebuttal of Cloudrock's Memorandum In Opposition.

1. On December 21, 2007, Vauna Randall of the Grand County Recorder's office created a zoning map that purports to show the Johnson's Up-On-Top PUD approved by County Resolution 2002-2568 and amended by Ordinance 454 (the "12-21-07 Zoning Map"). *See* Cloudrock's S.J. Memo, Exhibit V.

2. According to Ms. Randall, the 12-21-07 Zoning Map was created on that date from information contained in the legal description of the Cloudrock Development included in Ordinance 454. *See* Suarez Decl. ¶ 6, attached hereto as **Exh. 1.**

3. According to Ms. Randall, (a) the legal description in Ordinance 454 is not consistent with the County's database for the Johnson's Up-On-Top Mesa and thus an accurate map of the Cloudrock PUD cannot be drawn, and (b) the boundary drawn on the 12-21-07 Zoning Map is not continuous due to the flawed legal description. *See* Suarez Decl. ¶ 6.

4. According to Ms. Randall, Grand County has no zoning maps that show PUDs. *See* Suarez Decl. ¶ 7.

II. Plaintiffs' Response to Cloudrock's Undisputed Facts Material to Issues in Motion and Cross Motion.

1. *On May 8, 2007, the Council enacted Ordinance 454. (See Pls.'Am. Compl. para. 75, Pls.' Cross Mot. S.J., Statement of Facts para. 56.)*

Response: Admit.

2. *Plaintiffs John S. Weisheit, Michael K. Suarez and Barbara Morra spoke against the Cloudrock Development at the February 6, 2007 Council public hearing. (See Minutes of the Council Meeting, attached as Exhibit Q to Cloudrock Memo. S.J.) Plaintiffs Michael K. Suarez and Barbara Morra participated in the Council meeting where the Council set the date for the enactment of Ordinance 454. (See Minutes of Council Meeting, attached as Exhibit S to Cloudrock S.J. Memo; Plaintiffs' response to Fact No. 31, Plaintiffs Cross S.J. Memo, page 22.)*

Response: Admit the first sentence. Further, admit that Plaintiffs Suarez and Morra attended the May 1, 2007, Council meeting but deny that they "participated" in that meeting with regard to Ordinance 454 (there being no hearing or public input permitted with respect to the Cloudrock development).

III. Plaintiffs' Reply to Cloudrock's Response to Plaintiffs' Factual Statements.

45. Cloudrock's response to Plaintiff's undisputed material fact No. 45 misinterprets the Zoning Map submitted as part of Plaintiffs' Combined Cross Motion for S.J. The Johnson's Up-On-Top PUD is located in its entirety in the upper right-hand corner of the Zoning Map (when held horizontally). A close inspection of that map shows in the upper right-hand corner Sections 23, 24, 25 and 36 of Township 26 South, which correspond to the 12-21-07 Zoning Map. Those Sections are zoned RR or RG. The balance of the Johnson's Up-On-Top PUD, i.e., Sections 19, 30 and 31of

Township 26 South, extends further to the right on the map. All of the land located outside of the solid black line is zoned RG. The Zoning Map raises questions regarding the purported "rezoning" of the Johnson's Up-On-Top PUD in 2002, since five years later the County zoning map still fails to reference such a rezone.

52. Cloudrock's response to Plaintiffs' undisputed material fact No. 52 misreads the contents of Art. II.A.9. and Art. III.R. 4 of the Grand County Land Use Code in effect on April 2, 2001 (the "Applicable Land Use Code"). *See* Cloudrock's S.J. Memo, Exhibit H. Code section Art. II.A.9 does provide that the singular shall include the plural and vice versa **but only** "as the context and application of this Code may reasonably suggest." It is apparent that for purposes of a "wilderness lodge" use-on-review under the Applicable Land Use Code, the singular did **not** include the plural since in July 2001 the County Council adopted an ordinance amending the Grand County Land Use Code to "clarify" that the permitted accessory facilities of a "wilderness lodge" could include **more than one** restaurant, gift shop and spa. *See* Grand County Ordinance No. 345, Series 2001 attached hereto as **Exh. 2**. If the context and the application of the "wilderness lodge" provisions of the Applicable Land Use Code reasonably suggested that the singular included the plural, then the "clarification" of Ordinance 345 would not have been necessary. Plaintiffs maintain that the "context and application" of a "wilderness lodge" use-on-review under the Applicable Land Use Code did not "reasonably suggest" that **multiple** restaurants, gift shops and spas were intended to be permitted accessory facilities. *See* Applicable Land Use Code Art. III. C. h.(2).

Cloudrock's response also misreads Art. III.R.4 of the Applicable Land Use Code. Art. III.R.4 deals with permitted variation from zoning standards "with respect to minimum lot area, setbacks, lot width, and height" needed to achieve the purposes and intent of a PUD. In addition, Art. III.R.4.

addresses density variations within a PUD. This section of the Applicable Land Use Code, however, does not apply to the uses permitted within a "wilderness lodge" use-on-review, which was the subject of the undisputed fact. *See* Applicable Land Use Code Art. III.R.4.

ARGUMENT

The Court should grant Plaintiffs' cross-motion for summary judgment. Plaintiffs are entitled to have their grievances aired before the BOA and remand to that administrative body should be ordered. Even if remand is denied, however, the Court should not attempt to rule on the merits of Plaintiffs' appeal of an administrative decision without having the benefit of the record of administrative proceedings below. Fundamental principles of law, embodied in the County Land Use, Development, and Management Act ("LUDMA"), Utah Code Ann. § 17-27a-101 *et seq.*, dictate that a district court's review of an administrative action must be conducted upon the record. The County's failure to produce the record, despite its previous assurances that it would do so,[1] prevents the Court from deciding the matter on the merits. Moreover, even assuming, for the sake of argument, that the Court could rule on the merits of Plaintiffs' appeal in the absence of a record, and that remand to the BOA was denied, Cloudrock's motion still should be denied because the County's actions were arbitrary, capricious, and illegal.

I. Plaintiffs Are Entitled to a Declaratory Judgment Remanding This Matter to the Board of Adjustment.

The County's creation of the PUD was essentially administrative. Plaintiffs are accordingly entitled to have that decision reviewed by the BOA. Whether this matter should be remanded to the

[1] On February 22, 2008, the County served a pleading supporting Cloudrock's Combined Reply Memo. Prior to this filing, the County Attorney had led Plaintiffs to believe that a record of the proceedings of Ordinance 454 was being compiled and would be delivered to Plaintiffs. *See Letter from Scott Barrett,* **Exh. 3** hereto.

BOA is a threshold issue involving jurisdiction. Although resolution of this threshold issue would be aided by production of the record, Plaintiffs believe that it can be decided without having the record.

Cloudrock paints with too broad of brush when it argues that the approval of a PUD is a rezone that necessarily equals a legislative act. The Utah Court of Appeals has recognized that in "cases deciding whether PUD approval is legislative or administrative, the distinction is based upon the extent to which a municipality's PUD enabling ordinance limits the municipality's discretion over the PUD approval." Harmon City, Inc. v. Draper City, 997 P.2d 321, 327 (Utah Ct. App. 2000). Courts in other jurisdictions have held that PUD approvals are adjudicative or administrative decisions. *See* Dillon Companies, Inc., v. City of Boulder, 515 P.2d 627 (Colorado 1973); Neuberger v. City of Portland, 603 P.2d 771 (Ore. 1979); McCallen v. City of Memphis, 786 S.W.2d 633 (Tenn. 1990); Hirt v. Polk County Bd of County Commissioners, 578 So.2d 415 (Fla. App. 2nd Dist. 1991).

These cases, like the one presently before the Court, involved land use ordinances that authorized the granting of a PUD if the applicant complied with all the applicable standards and followed the required procedures. These courts have recognized that the local government's legislative discretion was used in forming and adopting the ordinances which allow for a PUD. Thereafter, when the city or county determines whether the requirements of such ordinances have been met in connection with a specific PUD application, the governmental bodies were acting administratively. *See* Neuberger at 776-77. When the discretionary authority of the government body must be exercised within existing standards and guidelines, the courts have held that the governmental unit is acting administratively, not legislatively. *See* McCallen at 639.

These cases are consistent with the treatment of this issue by Utah's appellate courts. *See* Bradley v. Payson City Corporation, 70 P.3d 47 (Utah 2003), and Springville Citizens for a Better Community v. City of Springville, 979 P.2d 332 (Utah 1999).

Here, the County's processing of Cloudrock's PUD application was a matter of applying pre-existing standards and zones to the specific land use application before the County. This is the very essence of "administering" the existing land use code, and end result thereof is administrative, not legislative. If Grand County had intended that a PUD be a rezone or a new zone classification, the land use code would have expressly so provided. Instead, the Applicable Land Use Code provides only that "every PUD District approved [thereunder] . . . shall be **considered** an amendment to the zoning map." (Emphasis supplied.) *See* Applicable Land Use Code, Art. III.R.3. Moreover, in Grand County, the underlying zone district of an approved PUD does not change. Rather, the underlying zone district remains in place and limits and controls not only density but also the uses that are allowed within the PUD. *See* Applicable Land Use Code, Art. III.R.4.and 5. Thus, the approval of a PUD in Grand County does not result in a rezone or the creation of a new zoning classification, but rather modifies the existing underlying zone district to "provide flexibility to accommodate mixed-use, non-traditional and innovative developments . . . and the preservation of natural and scenic qualities of open spaces." *See* Applicable Land Use Code, Art. III.R.1.

Furthermore, the Applicable Land Use Code provides that the "PUD, Planned Unit Development District may be **applied** in all zone districts" (emphasis supplied) and the requirement that an approved PUD be referenced on the Official Zoning Map of the County simply gives notice

that development therein may vary from other development within the underlying zone district due to the existence of the PUD. *See* Applicable Land Use Code, Art. III.R.1.and 3.[2]

Moreover, in adopting Ordinance 454, the County Council approved not only changes to a PUD, it also made administrative land use decisions regarding: (a) changes to a use-on-review; (b) special exceptions; and (c) changes to a preliminary plat and preliminary master plan; each of which involved administrating or interpreting a land use ordinance. The County's failure to follow the law with regard to the use on review is noteworthy.

In October 2006, Cloudrock filed an application to amend its PUD, preliminary master plan and preliminary plat. In connection with that application, Cloudrock made significant changes to its "wilderness lodge" use-on-review. Under the Applicable Land Use Code, any change to a use-on-review requires a new use-on-review permit. *See* Applicable Land Use Code, Art. VI.L.1. The County erred when it approved Ordinance 454, with all the proposed changes to the wilderness lodge, without first requiring Cloudrock to apply for a new use-on-review permit and conducting the thorough review mandated in the Applicable Land Use Code. The County Council did not cure that defect by approving Ordinance 454 with the condition that Cloudrock "perfect the record with regard to Use on Review concerning changes to the Wilderness Lodge." *See* Cloudrock's S.J. Memo, Exhibit A. First, it is unclear what the County meant by "perfecting the record" and perfecting the record is not the standard required by the Applicable Land Use Code in the approval of a use-on-

[2] The Applicable Land Use Code does require that the procedures of Art. VI.B., Zoning Map and Text Amendment, be followed in approving a PUD. These procedures include holding public hearings and considering certain review criteria. *See* Applicable Land Use Code, Art.III.R.2.b., Cloudrock's S.J. Memo, Exhibit H. These procedures, which the County failed to follow, are identical to the public hearing and review criteria requirements of the Applicable Land Use Code germane to use-on-review and special exception applications, the approvals of which Cloudrock has admitted are administrative in nature. (*See* Cloudrock's S.J. Memo at 14, footnote 4).

review. Indeed, such a condition strongly suggests that the Cloudrock need only go through the motions and do a little housekeeping, as the decision has already been made. While it is true that Cloudrock has since applied for a new use-on-review permit, the County's approval of the use on review was contrary to law, and also demonstrates that County's decision was essentially administrative rather than legislative.

II. The County's Failure to Produce the Record Precludes the Court From Ruling on the Merits of Plaintiffs' Petition for Review.

Cloudrock's novel argument that production of the record is not required in this case because the County's decision was legislative is without merit and contrary to well-established legal principles and LUDMA. As a general principle of administrative law, "a court may not reach a decision without the administrative record." Koch, *Administrative Law and Practice*, § 8.27 (2nd ed.). Utah law follows this principle. Judicial review of formal administrative rulings requires submission of the record. *See* Utah Code Ann. § 63-46b-16. This principle also is followed in LUDMA. Section 17-27a-801(7)(a) of LUDMA states that "the land use authority . . . shall transmit to the reviewing court the record of its proceedings . . . ." Contrary to Cloudrock's assertion, Section 17-27a-801(7)(a) applies regardless of whether the land use authority acted administratively or legislatively. The distinction between a legislative or administrative decision/ordinance is relevant only in connection with determining the applicable standard of review. *See* LUDMA §17-27a-801(3)(b). Nowhere else in LUDMA is this legislative/administrative dichotomy mentioned or discussed. If the Utah legislature had intended to excuse land use authorities acting in their legislative capacities from having to produce a record, then LUDMA would have expressly so provided.

The County Council is the land use authority in this case because, under the Applicable Land Use Code, the Council has the authority "to act upon a land use application" such as the amended PUD application at issue here. *See* LUDMA §17-27a-103(18) and Applicable Land Use Code, Art. III.R.2. (the "County Council . . . may authorize the creation of the Planned Unit Development Districts, subject to . . ."). The fact that only the Planning Commission is specifically identified in the Grand County Land Use Code as a land use authority is not controlling because the Planning Commission is not authorized to act on a PUD application other than to make a recommendation thereon to the County Council which is then authorized to approve the application. Id.

III. Cloudrock is Not Entitled to Judgment on the Merits of Plaintiffs' Petition for Review.

If the Court is inclined to forge ahead and rule on the merits of Plaintiffs' petition for review even without a record, Plaintiffs request the opportunity to submit additional briefing and argument on the merits of their petition. Nevertheless, as is outlined below, it is apparent even from a cursory review, sans record, that the County acted arbitrarily, capriciously, and illegally in adopting Ordinance 454.

A. The County's Failure to Comply with the Land Use Code Invalidates the Adoption of Ordinance 454.

Although Plaintiffs disagree with Cloudrock's assertion that the PUD approval reflects a legislative decision to rezone the relevant property, under the Applicable Land Use Code approval of a PUD and approval of zoning amendments share the same procedural requirements. *See* Art. VI. B. The County and Cloudrock failed to adhere to these requirements with regard to approval of the Cloudrock PUD, making the approval contrary to law (i.e. illegal). First, Cloudrock's Amended Master Plan and Preliminary Phase 1 Plat dated October 2006 and submitted to the County did not

include an application for a rezone or a certified boundary survey of the land area to be rezoned as required by the Grand County Land Use Code. Similarly, the County's application form that Cloudrock completed and filed on November 1, 2006, reveals that Cloudrock was only applying for an amended preliminary plat and not for a rezoning. *See* **Exh. 4** hereto. Second, while the Planning Commission and County Council held public hearings on Cloudrock's "Amended Master Plan and Amended Preliminary Phase 1 Plat," the record will demonstrate (when it is produced) that neither the notice, the agenda, nor the minutes of those hearings support a finding that a zoning map amendment was considered at those hearings.

In addition to the foregoing, a proposed amended zoning map was not presented at those public hearings as required by LUDMA, Utah's zoning amendment enabling act, and applicable case law. *See* Utah Code Ann. §17-27a-503 and Hatch v. Boulder Town Council, 21 P.3d 245, 248 (Utah Ct. App. 2001). Cloudrock's contention that it submitted a map showing the boundaries of the proposed rezone to the Planning Commission does not satisfy the legal requirement that the Planning Commission prepare and recommend to the County Council a map, "which accurately reflect[s] the text of its zoning ordinance." Utah Code Ann. §17-27a-502(1)(c); Hatch at 249. The boundary maps Cloudrock refers to in its Combined Reply Memo at 4-5 were simply the maps attached to its original and amended development proposals. Moreover, Cloudrock does not even assert that those maps were presented at any public hearing. *See* Cloudrock's Combined Reply Memo at 4-5. These maps fall far short of the required accurate reflection of the text of the zoning amendment. This conclusion is born out by the fact that the Grand County Zoning Map of Cloudrock's PUD prepared on December 21, 2007, by Vauna Randall of the County Recorder's office (the "12-21-07 Zoning Map") does not have a continuous boundary line along the purported southern border of the PUD. *See*

Exhibit V to Cloudrock's S.J Memo. According to Ms. Randall, the 12-21-07 Zoning Map was created on that date from information contained in the legal description included in Ordinance 454, which is not consistent with the County's data base for the Johnson's Up-On-Top Mesa and thus an accurate map of the Cloudrock PUD cannot be drawn. *See* **Appendix A** hereto, Suarez Decl. ¶ 7. Ms. Randall pointed out that the boundary drawn on the 12-21-07 Zoning Map is not continuous due to the flawed legal description. Id. In light of the foregoing, it is clear that adoption of Ordinance 454 did not result in an effective rezone.

In the Hatch decision, the failure of the Town Council to strictly comply with LUDMA rendered its zoning ordinance invalid from its inception. In addition, there was no requirement in Hatch that the appellants demonstrate any prejudice as a result of the failure of the governmental body to comply with the enabling act in order to prevail. In accordance with the facts as presented above and the Hatch decision, Ordinance 454 was not a valid rezone and Ordinance 454 is invalid as a result thereof.

B. Plaintiffs Were Prejudiced by the County's Failure to Follow the Law.

Plaintiffs acknowledge that the Springville Citizens decision includes a requirement that plaintiffs generally must establish that they were prejudiced by a governmental entity's noncompliance with its ordinances in order to prevail in their challenge of the legality of a PUD. The Plaintiffs point out, however, that the legal authority cited in the Springville Citizens decision does not support such a requirement. First, in Board of Education v. Salt Lake County, the showing of prejudice due to noncompliance with the law served as one of three bases for finding that compliance with the statute in that instance was mandatory, not directory. A showing of prejudice in Salt Lake County was not required in order for the plaintiffs therein to prevail. Similarly, *Anderson's American*

Law of Zoning § 11.24, deals with the injury that must be shown to establish **standing** to challenge a PUD approval and not the injury that must be demonstrated to be entitled to relief when a governmental entity fails to strictly comply with the law. Moreover, in 2001, the Utah Court of Appeals invalidated a zoning ordinance when the Boulder Town Council failed to strictly comply with the statutory requirement to prepare a zoning map to accompany a zoning amendment. Hatch v. Boulder Town Council, 21 P3d 245 (Utah App. 2001). In the Hatch decision, the Court did not require that the appellants show prejudice in order to prevail.

Notwithstanding the foregoing, Plaintiffs are prejudiced by the County's noncompliance with the mandatory provisions of its own land use code for the following reasons. The County Council is a public body that has a duty to the citizens of Grand County to adhere to the law for the benefit of the general public. Accordingly, it must be assumed that if the County Council had fully understood and appreciated the approval process and the findings it was required by law to make in connection with Cloudrock's amended PUD application, the County Council would not have approved Ordinance 454. Cloudrock's amended PUD application clearly does not comply with the requirements of the Applicable Land Use Code and the County Council failed to apply the applicable provisions thereof in its review and approval of the application. In failing to adhere to its own land use code, the Council put the interests of a developer ahead of the general welfare of the County and failed to address major issues related to the Cloudrock development that could adversely affect the health, welfare, livelihood and/or property values of the Plaintiffs who have standing to bring this action.

Despite the wording of Ordinance 454, a number of the findings contained therein are simply contrary to the facts of this case. First, the amended PUD is not consistent with the Public Facilities Analysis which is part of the Grand County General Plan. Second, certain adverse affects of the

Cloudrock development have not been adequately mitigated, including the environmental and scenic quality impacts related to the access road to the development and the adverse affects that drainage from the Cloudrock development could have on the Glen Canyon aquifer, the source of 80% of the culinary water for the City of Moab, and surrounding private wells. Third, the availability of adequate public facilities to serve the Cloudrock development as proposed in the amended preliminary plat, amended master plan and the amended development agreement has not been established. Finally, the County Council has not addressed the validity of the preliminary plat for this development, an issue that was presented to the Council on more than one occasion. If the County Council had fully understood its obligation in approving Ordinance 454, it would not have adopted that ordinance because approval thereof is inconsistent of the facts of this case as outlined above.

As stated more fully in the Complaint, each Plaintiff is adversely affected by the approval of Ordinance 454. In addition, in connection with the holding of public hearings regarding the Cloudrock development, all of the Plaintiffs were prejudiced by the County's failure to give effective notice of the "nature and scope of the ordinance that [was] finally adopted." Hatch v. Boulder Town Council, 21 P.3d 245, 249 (UT App. 2001). *See also,* Applicable Land Use Code, Art. VI.B.3.a.(1)(a) and 4.a.(1)(a). Cloudrock mischaracterizes the notice given when it states that notice of a "PUD rezoning" was given. *See* Cloudrock's Combined Reply Memo at 25-26. Neither the words nor the concept of a zoning amendment, rezoning or PUD rezoning can be found in the relevant notices. *See* Cloudrock's S.J. Memo, Exhibits L and O. Thus, even the handful of the Plaintiffs who did attend one of the public hearings on the Cloudrock development did not have "notice sufficient to permit an objection or defense" on the issue of a rezoning. Low v. City of Monticello, 103 P.3d 130, 134 (Utah 2004).

CONCLUSION

The County's adoption of Ordinance 454 is best characterized as an administrative, rather than legislative, act. Accordingly, Plaintiffs are entitled to have their appeal heard by the Grand County Board of Adjustment prior to the Court's consideration. Although review of the record could aid in the Court's decision on whether to remand to the BOA, because Plaintiffs are required to exhaust their administrative remedies before obtaining Court review, this is a threshold jurisdictional issue that must be decided even if the County continues to disregard its duty to produce the record. If the Court were to decide to rule on the merits of Plaintiffs' appeal notwithstanding the lack of a record, Plaintiffs still should prevail because the County actions were arbitrary, capricious, and illegal.

Respectfully Submitted this 13th day of March, 2008.

SMITH HARTVIGSEN, PLLC

J. Craig Smith
Lyle J. Fuller
Nancy J. Delacenserie
Attorneys for Plaintiffs

CERTIFICATE OF MAILING

I hereby certify that I caused a true and correct copy of the foregoing document served via e-mail and U.S. Mail on this 13th day of March, 2008 upon:

Michael D. Zimmerman
Wade R. Budge
Keli Beard
SNELL & WILMER L.L.P.
15 West South Temple, Suite 1200
Gateway Tower West
Salt Lake City, Utah 84101-1004
Attorneys for Cloudrock

with a copy served the same date via U.S. Mail upon:

W. Scott Barrett
BARRETT & DAINES
108 North Main Street
Logan, Utah 84321
Attorneys for Grand County, Utah and the Grand County Council

Kaila Johnson
Name: Kaila Johnson

IN THE SEVENTH JUDICIAL DISTRICT COURT OF GRAND COUNTY

STATE OF UTAH

BARBARA A. MORRA; MICHAEL K. SUAREZ; JOHN S. WEISHEIT; HAROLD SHEPHERD; JENNIFER P. SPEERS; TARA COLLINS; WILLIAM LOVE; SARAH M. FIELDS; JOHN C. DOHRENWEND; PAUL JANOS; STEVE MULLIGAN Plaintiffs, v. GRAND COUNTY, UTAH; and the GRAND COUNTY COUNCIL, Defendants; and CLOUDROCK LAND COMPANY LLC, a Utah limited liability company, Defendant-Intervenor.	**DECLARATION OF MICHAEL K. SUAREZ** Case No. 070700108 Judge: Honorable Lyle Anderson

I, Michael K. Suarez, declare under criminal penalty of the State of Utah that the following is true and correct:

1. I am over the age of 18 and in all respects qualified to provide this declaration.

2. I am a Plaintiff in this lawsuit and make this declaration based on my personal knowledge.

3. The present lawsuit is the latest round in a series of disputes stretching back several years over development of the subject property. I and other Grand County

Exhibit 1

residents have serious concerns about the proposed development and the County's approval of the development.

4. Sometime during the spring or early summer of 2007, I obtained a copy of a County Zoning Map (the "Zoning Map") from Mary Hofhine, the Grand County Planning and Zoning Administrator (the "Zoning Administrator"). A copy of the Zoning Map was attached to the Declaration of Barbara A. Morra dated January 29, 2008 and filed with the Court on January 29, 2008 as part of Plaintiffs' Memorandum in Support of Cross Motion for Summary Judgment. The Zoning Map provides that the Johnson's Up-On-Top Mesa is zoned RG, Range and Grazing. The Zoning Map does not reference a PUD for the Johnson's Up-On-Top Mesa.

5. On December 21, 2007, Vauna Randall of the Grand County Recorder's office created a zoning map that purported to show the Johnson's Up-On-Top PUD approved by County Resolution 2002-2568 and amended by Ordinance 454 (the "12-21-07 Zoning Map"). A copy of the 12-21-07 Zoning Map is attached hereto as Exhibit A.

6. On January 28, 2008, Vauna Randall told me that the 12-21-07 Zoning Map was created on that date from information contained in the legal description of the Cloudrock Development included in Ordinance 454. Ms. Randall also told me that the legal description in Ordinance 454 is not consistent with the County's data base for the Johnson's Up-On-Top Mesa and thus an accurate map of the Cloudrock PUD cannot be

drawn. Ms. Randall pointed out that the boundary drawn on the 12-21-07 Zoning Map is not continuous due to the flawed legal description.

7. On January 28, 2008, I also asked Vauna Randall for a copy of the zoning maps showing approved PUDs in Grand County as of May 7, 2007 and December 20, 2007. Ms. Randall told me that the County has no zoning maps that show PUDs.

EXECUTED this 12th day of March, 2008.

Michael K. Suarez

SECTION 23 T26S R22E SLB&M

SECTION 24 T26S R22E SLB&M

This area not included

This area not included

SECTION 19 T26S R23E SLB&M

This area not included

SECTION 30 T26S R23E SLB&M

SECTION 25 T26S R22E SLB&M

SECTION 26 T26S R22E SLB&M

RESOLUTION NO 2002-25a8
1 APPROVING JOHNSONS UP-ON-TOP PUD
2 GRANTING SPECIAL EXCEPTION FOR ROAD DESIGN

ORDINANCE NO 434 SERIES 2007
APPROVING FIRST AMENDMENT TO
THE JOHNSONS UP-ON-TOP
PRELIMINARY PUD AMENDMENT

This area not included

This area not included

This area not included

SECTION 36 T26S R22E SLB&M

SECTION 31 T26S R23E SLB&M

I hereby certify that the map above and consists [illegible] the changes to the
GRAND COUNTY ZONING MAP
as required by
RESOLUTION NO. [illegible]
and
ORDINANCE NO 434 SERIES 2007

Matthew Killing
GRAND COUNTY PLANNER
DATE 12-26-07

CREATED BY VALNA RANDALL
GRAND COUNTY RECORDER'S OFFICE
DATE 1/22/08

Exhibit A

GRAND COUNTY
ORDINANCE NO. 345, SERIES 2001
AN ORDINANCE AMENDING THE *GRAND COUNTY LAND USE CODE*, ART. III.C.H., DUDE RANCH, WILDERNESS LODGE AND SIMILAR REC. FACILITIES

WHEREAS, the *Grand County General Plan* ("*General Plan*") was adopted by the Grand County Council on August 5, 1996, with Resolution #2301;

WHEREAS, the *Grand County Land Use Code* ("*Land Use Code*") was adopted by the Grand County Council on January 4, 1999 with Ordinance No. 299, Series 1999, for the purpose of regulating land use, subdivision and development in Grand County in accordance with *Grand County General Plan;*

WHEREAS, the amendments contained herein are designed to: replace "Wilderness Lodge" with the term "Destination Resort", and delete the vague term of "similar recreational facilities"; increase the County's discretion with respect to such uses by requiring that the County make specific findings as a prerequisite to the approval of bonus density and/or accommodations unit size; clarify that the list of accessory uses includes the plural of these uses; standardize public trail and/or road dedication requirements; limit the height of accommodations units, but not that of main lodge structures; limit total number of primary structures in the interest of promoting clustered development; mandate varied roof lines and wall off-set requirements in order to limit the perceived mass and scale of structures; and require provision of guest food service and a appropriate recreational amenity package in all cases;

WHEREAS, the Planning Commission reviewed in public work sessions on April 4 and May 2, 2001, and subsequently recommended adoption of this ordinance following a public hearing on June 6, 2001;

WHEREAS, due notice was given that the Grand County Council ("Council") would meet to hear and consider this ordinance; and

WHEREAS, the Council has heard and considered all evidence and testimony presented with respect to the amendments and has determined, subsequent to said public hearing that the adoption of this ordinance is in the best interests of the citizens of the Grand County, Utah.

NOW, THEREFORE, BE IT ORDAINED BY THE COUNTY COUNCIL OF GRAND COUNTY, UTAH, THAT the *Grand County Land Use Code* is hereby modifies the Schedule of Use Regulations of Art. III.C.1. with respect to "Dude ranch, wilderness lodge and similar recreational facilities" , to read as follows:

SCHEDULE OF USE REGULATIONS													
Use Type	**SLR1**	**SLR2**	**LLR**	**RR**	**A-PUD**	**MFR**	**RG**	**WSP-PUD**	**NC**	**GB**	**HC**	**LI**	**HI**
Retail, commercial and personal service uses													
Dude ranch or destination resort (h.)							R						

BE IT FURTHER ORDAINED BY THE COUNTY COUNCIL, THAT the *Grand County Land Use Code* is hereby amended by the repeal and re-enaction of Art. III.C.2.h., to read as follows:

2. **Use-specific standards**. In addition to applicable Art. IV., Site development standards, the following conditions apply to the listed uses when referenced in the use regulations of a particular zoning district, Art. III.E. SLR-1, Small Lot Residential-1, through Art. III.R., AL, Airport Limitation District:

Exhibit 2

h. *Dude ranch or destination resort.* All dude ranches and destination resorts shall comply with the standards of this section:

(1) Accommodation units may be provided for temporary overnight occupants or employees;
(2) Accessory facilities may include a restaurants, gift shops, employee housing, equestrian facilities and health spas;
(3) All structures and parking shall be substantially hidden from view off-site from public rights-of-way and high use areas through use of siting, screening, landscaping, or setbacks;
(4) Utilize earth-tone colors with low light reflective values that minimize contrast with the surrounding landscape;
(5) The proposed project and accommodations density shall be compatible with the surrounding land uses and suitable for the proposed site;
(6) Utilize indigenous, regional architecture styles and materials, or as otherwise approved by the Planning Commission;
(7) Provide adequate public facilities and services based on the type and scope of the development proposed; a private water and/or sewerage system may be required where the capacity of available public water system and/or sewage treatment system is insufficient to serve current zoned density;
(8) Provide public trail and/or road right-of-way dedications as necessary to maintain historic access to public lands;
(9) Limit the height of all accommodations units to 24 ft. and the main lodge structure to 35 ft.;
(10) Limit the number of primary structures on site to an average of one (1) per five (5) acres;
(11) Incorporate varied roof lines and wall off-sets as necessary to break-up the perceived mass and scale of all structures larger than a typical single family home;
(12) Provide complete food service for all guests;
(13) Provide a recreational amenity package suitable for the scale of the project.
(14) The *density* of accommodations units shall be limited to one (1) per 2.5 acres, and the *average size* of all accommodations units shall not exceed 600 sq. ft.; provided, however, that the County may permit "bonus" density up to one (1) unit per acre *and/or* "bonus" average unit size, where the County specifically finds that a proposed development will provide significant and substantial public benefit, as compared to alternative uses for the subject property, by exceeding county standards with respect to:

(a) protection of sensitive lands on the site;
(b) dedication of view shed easements across the property from high public use areas;
(c) dedication of 80% or more of the site as open space;
(d) protection and enhancement of wildlife habitat;
(e) diversification of the local economy; and
(f) preserve agricultural lands.

PASSED, ADOPTED, AND APPROVED by the Grand County Council in open session this 16th day of July, 2001, by the following vote:

Those voting aye: Leavitt, McNeely, Lewis, Schappert
Those voting nay: Langianese, McLeod, Mayberry
Absent: _____

Grand County Council

-s-
Kim Schappert, Chairman

ATTEST:

-s-
Clerk/Auditor

BARRETT & DAINES
ATTORNEYS AT LAW
108 NORTH MAIN STREET
LOGAN, UTAH 84321

N. GEORGE DAINES
W. SCOTT BARRETT*
CHRISTOPHER DAINES, P. C.
KEVIN K. ALLEN
JONATHAN E. JENKINS
*ALSO ADMITTED IN CALIFORNIA AND AMERICAN SAMOA

TELEPHONE
(435) 753-4000

FAX (435) 753-4002
E-Mail law@bdalaw.com

September 24, 2007

Nancy Delscenserie
Via Fax 413-1620

RE: Record – Cloud Rock Petition

Dear Nancy:

Your letter dated Sept. 19, 2007 has been forwarded to the County Clerk and Council Adm. They will compile the Record required by Sec. 17-27a-801(7). No record for the Board Of Adjustment was ever prepared or forwarded due the finding that it has no Jurisdiction.

Copies of the Record will be sent to your Firm and Snell & Wilmer.

Very truly yours,

BARRETT & DAINES

W. Scott Barrett

W. Scott Barrett

Exhibit 3

Return by November 13, 2006 to be on the December 13, 2006 Agenda _____Staff Initial

The Planning Commission meets the second and fourth Wednesday of each month; the County Council, on the first and third Tuesday of each month.

APPLICATION FOR LAND DEVELOPMENT APPROVAL
GRAND COUNTY, UTAH

INCOMPLETE APPLICATIONS WILL NOT BE ACCEPTED!

PART I To be completed by Applicant

A. Applicant Information

Property owner		Representative (if different from property owner)	
Name	State of Utah: School and Institutional Trust Lands Administration	Name	Cloudrock Land Company LLC ATTN: Mark Oligschlaeger
Address	675 East 500 South Salt Lake City, UT 84102	Address	529 E. South Temple Salt Lake City, UT 84102
Telephone	801-538-5100	Telephone	801-524-1708
Fax	801-355-0922	Fax	801-524-1751

Property Information

Location Johnson's Up-On-Top Mesa Legal Description (see title report)

Acreage 1935 approx. Zoning – current RG Zoning – proposed same

Type of Request

___Sketch Plan
_X_Amended Preliminary Plat
___Final Plat
___Minor Subdivision
___Replat or Plat Amendment
___Rezoning
___PUD Amendment
___Special Exception
___Use on Review
___Planned Unit Development
___Conditional Use
___Variance
___Road Vacation
___Appeal

Signature (property owner) Signature (representative)
Fredrick McBrier Mark Oligschlaeger

PART II. FOR OFFICE USE ONLY

___Application Complete

Date Submitted _____
Date Accepted _____
Date Returned _____

AGENCY REFERRAL:

___ Fire Dist.
___Water & San Dist.
___Road Dept.
___Building Dept.
___Health Dept.
___Engineer
_____City of Moab
_____Other (specify)
_____Other (specify)

Scheduled for Planning Commission _____Date____Staff Initial

This document is not meant to substitute, replace or amend the Grand County Land Use Code. We recommend that all applicants obtain a complete copy of the Code and familiarized themselves with its contents. They are available in the Planning Office in the Courthouse, 125 E. Center, Moab, Utah, or at cost from the Copy Center in Moab. Contact the County Zoning Administrator at 435.259.1343, if you have any questions.

Exhibit 4

Canyonlands Copy Center
A Division of Canyonlands Advertising

375 South Main
Moab, Utah 84532
(435) 259-8431
FAX: (435) 259-2418

from:
- ☐ Canyonlands Advertising
- ☐ Canyonlands Copy Center
- ☐ Moab Happenings©
- ☐ Southeast Utah Real Estate Happenings©
- ☐ Moab Menu Guide©
- ☐ Jeep Safari Newspaper

FAX Transmittal

Date: 3/12/08 Time: 11:55 a.m. Number of pages (including cover letter): 4

TO

Name: Nancy Delaceuserie
Company: Smith/Hartvigsen
Phone: (801) 413-1600
Fax: (801) 413-1620

FROM

Name: Mike Suarez
Company: —
Phone: (435) 259-8317
Fax: —

MESSAGE:
Declaration for Cloudrock.